

Rupee depreciation calls for structural reforms

Despite **notable** gains such as a reduced **trade deficit**, emerging **challenges** including global **tariff** tensions **highlight** the urgent need for **comprehensive** policy reforms

Over the past decade (2014-2024), **the compounded annual growth rate** (CAGR) of India's exports of goods and services in USD terms **has** fallen sharply to about 5 per cent, compared to 17.9 per cent during 2004-2014 and 12.7 per cent in the period 1994-2004. This decline in export growth has **coincided with** a significant depreciation of the Rupee, which now trades at roughly Rs 86/87 per USD, a **stark contrast** to the Rs 60.50 per USD seen in 2013-14. In contrast, between 2000 and 2012, the Rupee remained relatively stable-with **occasional appreciation driven by robust** export growth at an impressive 19.5 per cent CAGR in USD terms.

This historical perspective **demonstrates** that a strong, stable Rupee is not an **inherent** barrier to export performance. In fact, **the key** to **sustained** export growth **lies** in enhancing overall economic efficiency. This efficiency is shaped by a broad range of policies and regulations that affect factors such as capital, energy, **logistics** and raw materials. By improving these inputs, India can **propel** exports forward while maintaining Rupee stability.

A weak Rupee, however, **tends** to **deter** global investors. **Given** that domestic savings alone cannot fulfill India's vast investment requirements, a **steady** inflow of global funds remains essential until the country **transitions** into a "Trade-Surplus Nation." **Recent changes** in US leadership **have sparked** a tariff war, adding another layer of complexity to India's export environment.

Despite the **sluggish** export performance in the past **decade**, the country achieved a notable reduction in its trade deficit-from 4.3 per cent of nominal GDP in 2004-2014 to an average of 2.5 per cent in 2014-2024-primarily due to lower import volumes. In 2024, inward foreign remittances **surged** to \$129 billion, the highest globally, which played a crucial role in reducing the **current account deficit** (CAD) from 1.7 per cent of GDP in 2013-14 to about 0.7 per cent. Consequently, Forex reserves **swelled** to 18.3 per cent of nominal GDP, **underscoring** the positive impact of these **remittances**.

Looking ahead, potential challenges **loom**. Aggressive **deportation** policies by the US could **discourage migration**, **thereby** diminishing remittance flows. **Moreover**, if India shifts its oil and gas import sources from Iran, Gulf nations, and Russia to the US, the resulting higher import bill may widen the trade deficit. In response, India must **marshal** all available policy tools to boost exports, reduce imports, and eventually become a trade-surplus nation. **Facilitating** legal migration remains crucial until domestic job creation can sustain remittance inflows, which are **vital** for **curbing** the CAD.

To further **stimulate** export growth, targeted export **incentives** for manufactured and agro-based goods **should** be implemented, while the **untapped** potential of service exports-ranging from tourism and healthcare to education and professional consultancy-must be unlocked through dedicated

policies. Additionally, **reducing** petroleum imports **requires** massive investments in railway infrastructure and expanded public transportation to lower fuel demand, and increased spending on petroleum exploration is **the need of the hour**.

Enhancing domestic production of thermal coal and **adopting** innovative measures to reduce gold imports, such as a revised gold deposit scheme, **are** also essential steps. Finally, **attracting** global funds through measures like reducing capital gains tax on **foreign portfolio investments** (FPIs) and encouraging long-term borrowing via bonds **backed** by **sovereign guarantees** **will** help **meet** India's investment needs. **Overcoming** outdated **colonial-era** business and taxation laws **remains** critical. A second wave of structural reforms is needed to **stabilise** the Rupee, secure higher GDP growth, and **elevate** India's **stature** on the global stage. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denote 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Depreciation** (noun) – Devaluation, Decline, Reduction, Drop, Decrease
मूल्यहास
2. **Call for** (phrasal verb) – Demand, Require, Necessitate, Ask for, Urge मांग करना
3. **Notable** (adjective) – Remarkable, Significant, Prominent, Outstanding, Notable उल्लेखनीय
4. **Trade deficit** (noun) – a situation where the country's import dues exceed the receipts from the exports व्यापार घाटा
5. **Tariff** (noun) – Duty, Tax, Levy, Charge, Impost शुल्क
6. **Highlight** (verb) – Emphasize, Underscore, Accentuate, Spotlight, Stress प्रमुखता देना
7. **Comprehensive** (adjective) – Extensive, Thorough, Complete, Inclusive, Exhaustive व्यापक
8. **Coincide** (with) (verb) – Align, Match, Correspond, Concur, Synchronize मेल खाना
9. **Stark** (adjective) – Sharp, Clear, Harsh, Blunt, Obvious स्पष्ट
10. **Contrast** (noun) – Difference, Disparity, Distinction, Variation, Divergence विरोधाभास
11. **Occasional** (adjective) – Infrequent, Sporadic, Intermittent, Rare, Periodic कभी-कभी
12. **Appreciation** (noun) – Increase, Rise, Growth, Enhancement, Gain मूल्यवृद्धि
13. **Drive** (verb) – Propel, Push, Motivate, Spur, Force प्रेरित करना
14. **Robust** (adjective) – Strong, Sturdy, Vigorous, Resilient, Powerful मजबूत
15. **Demonstrate** (verb) – Show, Prove, Exhibit, Illustrate, Display प्रदर्शित करना
16. **Inherent** (adjective) – Intrinsic, Innate, Natural, Built-in, Essential अंतर्निहित
17. **Sustained** (adjective) – Continuous, Prolonged, Persistent, Steady, Uninterrupted निरंतर
18. **Lie** (verb) – Reside, Exist, Rest, Dwell, Be situated निहित होना
19. **Logistic** (noun) – Supply chain, Coordination, Management, Planning, Organization दुलाई संबंधी
20. **Propel** (verb) – Drive, Push, Thrust, Launch, Spur आगे बढ़ाना
21. **Tend** (to) (verb) – Incline, Lean, Favor, Gravitate, Be prone to प्रवृत्त होना

22. **Deter** (verb) – Discourage, Prevent, Hinder, Dissuade, Inhibit रोकना
23. **Given** (preposition) – Considering, Granted, Provided, Acknowledging, Assumed देखते हुए
24. **Steady** (adjective) – Stable, Constant, Consistent, Firm, Unchanging स्थिर
25. **Transition** (noun) – Change, Shift, Transformation, Conversion, Passage परिवर्तन
26. **Spark** (verb) – Trigger, Ignite, Provoke, Stimulate, Initiate शुरू करना
27. **Sluggish** (adjective) – Slow, Lethargic, Inactive, Sluggish, Dull सुस्त
28. **Decade** (noun) – Period of ten years दशक
29. **Surge** (verb) – Rise, Increase, Soar, Escalate, Spike तेजी से बढ़ना
30. **Current account deficit** (noun) – It occurs when a country's imports and transfers exceed its exports and transfers out
31. **Swell** (verb) – Expand, Increase, Grow, Rise, Inflate बढ़ना
32. **Underscore** (verb) – Emphasize, Highlight, Stress, Accentuate, Reinforce जोर देना
33. **Remittance** (noun) – Payment, Transfer, Sending, Dispatch, Money प्रेषण
34. **Loom** (verb) – Approach, Threaten, Impend, Emerge, Appear मंडराना
35. **Deportation** (noun) – Expulsion, Exile, Removal, Banishment, Eviction निर्वासन
36. **Discourage** (verb) – Deter, Dissuade, Dishearten, Hinder, Prevent हतोत्साहित करना
37. **Migration** (noun) – Relocation, Movement, Exodus, Shift, Displacement प्रवास
38. **Thereby** (adverb) – Consequently, Thus, Therefore, Hence, Accordingly जिससे
39. **Moreover** (adverb) – Furthermore, Additionally, Besides, Also, In addition इसके अलावा
40. **Marshall** (verb) – Organize, Arrange, Gather, Assemble, Mobilize संगठित करना
41. **Facilitate** (verb) – Enable, Assist, Ease, Promote, Simplify सुविधा देना
42. **Vital** (adjective) – Essential, Crucial, Important, Critical, Indispensable महत्वपूर्ण
43. **Curb** (verb) – Restrict, Control, Limit, Check, Suppress रोकना
44. **Stimulate** (verb) – Encourage, Boost, Spur, Promote, Inspire प्रोत्साहित करना
45. **Untapped** (adjective) – Unused, Unexploited, Undeveloped, Available, Latent अप्रयुक्त

46. **The need of the hour** (phrase) – Priority, Urgency, Requirement, Necessity, Demand
समय की मांग
47. **Foreign portfolio investment** (noun) – when an individual or institution invests in a foreign country's financial assets like stocks, bonds, or mutual funds. FPIs are a common way to invest in a foreign economy
विदेशी पोर्टफोलियो निवेश
48. **Back** (verb) – Support, Finance, Fund, Endorse, Sponsor
समर्थन करना
49. **Sovereign guarantee** (noun) – a promise by a government to pay a debt if the primary debtor can't. It's also known as a government guarantee.
सरकारी गारंटी
50. **Meet** (verb) – Fulfill, Satisfy, Achieve, Accomplish, Attain
पूरा करना
51. **Overcome** (verb) – Conquer, Surmount, Defeat, Master, Prevail over
काबू पाना
52. **Colonial-era** (adjective) – Historical, Traditional, Old, Past, Antiquated
औपनिवेशिक युग
53. **Stabilise** (verb) – Balance, Steady, Secure, Strengthen, Firm
स्थिर करना
54. **Elevate** (verb) – Raise, Lift, Boost, Enhance, Upgrade
बढ़ाना
55. **Stature** (noun) – Status, Reputation, Standing, Prestige, Position
प्रतिष्ठा

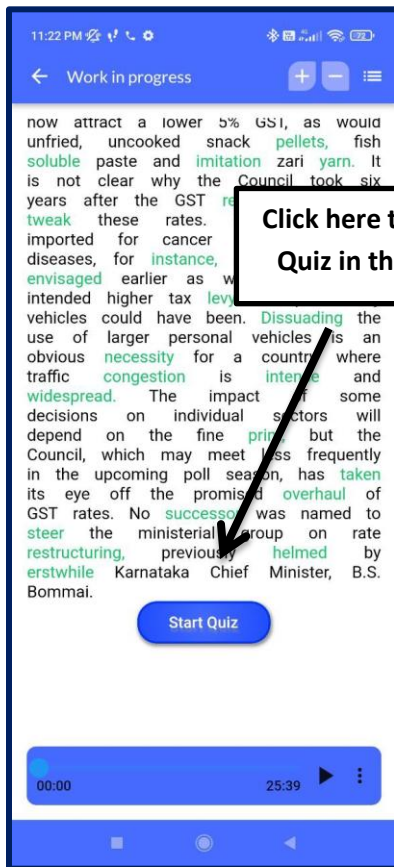
Summary of the Editorial

1. **Export Growth Decline:** India's export growth (CAGR) in USD terms fell to 5% (2014-2024) from 17.9% (2004-2014) and 12.7% (1994-2004).
2. **Rupee Depreciation:** The Rupee depreciated to Rs 86/87 per USD in 2024 from Rs 60.50 in 2013-14, contrasting with its stability during 2000-2012.
3. **Export-Efficiency Link:** Strong export performance historically correlates with economic efficiency, not just a weak currency.
4. **Policy Reforms Needed:** Structural reforms in capital, energy, logistics, and raw materials are essential to boost exports and stabilize the Rupee.
5. **Global Investor Confidence:** A weak Rupee deters global investors, crucial for India's investment needs until it becomes a trade-surplus nation.
6. **US Tariff War:** Recent US tariff tensions add complexity to India's export environment, necessitating strategic policy responses.
7. **Trade Deficit Reduction:** The trade deficit fell from 4.3% of GDP (2004-2014) to 2.5% (2014-2024), driven by lower import volumes.
8. **Remittance Inflows:** Inward remittances surged to \$129 billion in 2024, reducing the current account deficit (CAD) to 0.7% of GDP.
9. **Forex Reserves:** Forex reserves grew to 18.3% of GDP, supported by robust remittance inflows.
10. **Migration Risks:** US deportation policies could reduce remittance flows, impacting the CAD.
11. **Oil Import Shift:** Shifting oil imports to the US may increase costs and widen the trade deficit.
12. **Export Incentives:** Targeted incentives for manufactured and agro-based goods can stimulate export growth.
13. **Service Exports:** Untapped potential in tourism, healthcare, education, and consultancy must be unlocked through dedicated policies.
14. **Energy Efficiency:** Investments in railways, public transport, and petroleum exploration can reduce fuel imports.
15. **Gold Imports:** Innovative measures like a revised gold deposit scheme can curb gold imports.
16. **Global Funds:** Reducing capital gains tax on FPIs and issuing sovereign-backed bonds can attract global investments.

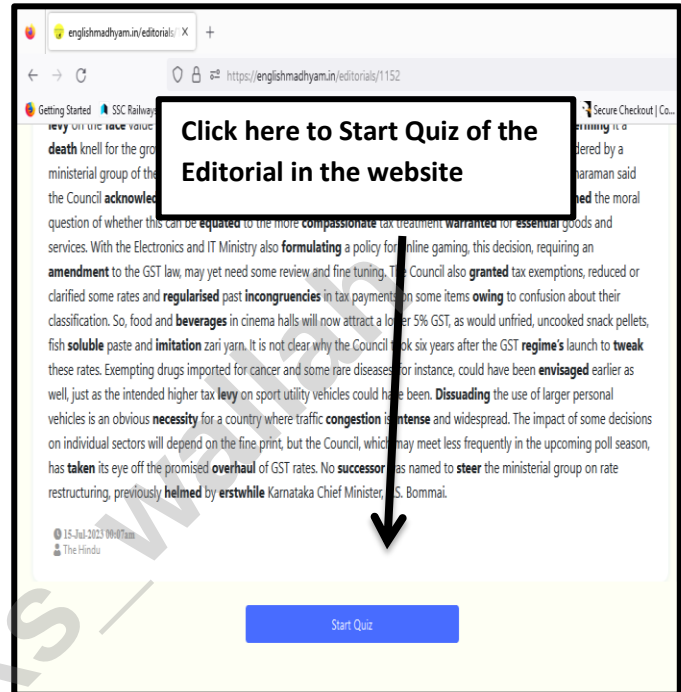
17. **Colonial-Era Laws:** Outdated business and taxation laws must be reformed to support economic growth.
18. **Structural Reforms:** A second wave of reforms is needed to stabilize the Rupee, boost GDP growth, and enhance India's global standing.

@mocks_wallah

Practice Exercise: Banking Pattern Based



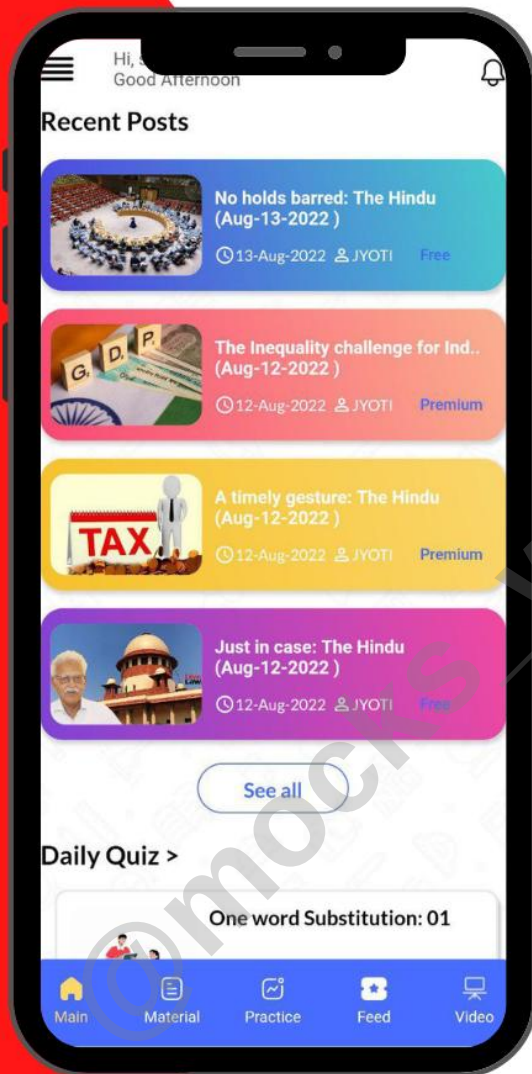
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